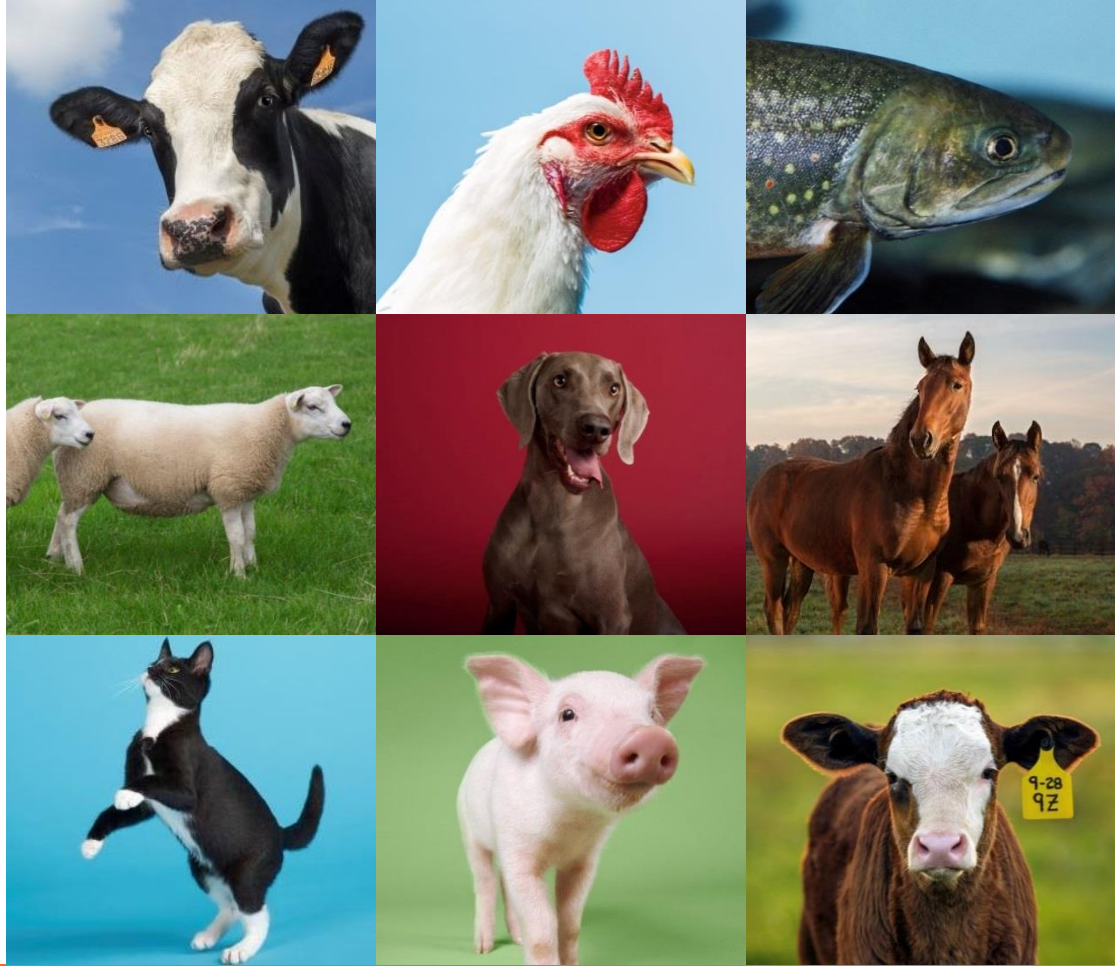


THIRD QUARTER 2016 FINANCIAL RESULTS

November 2, 2016



zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2015, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX

CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

SOLID THIRD QUARTER RESULTS

- Solid Operational¹ revenue growth, led by Companion Animal portfolio with APOQUEL® and other new products
- Livestock products show positive Operational growth, excluding negative impact from product rationalizations
- Cost reductions and efficiency initiative helping deliver Adjusted EBIT² growth and margin expansion
- Meaningful contributions from new products, lifecycle innovations and business development activities

POSITIONED FOR LONG TERM PROFITABLE GROWTH

- On target to exceed \$300 million in cost savings by end of 2017
- Allocating resources and investments to support key growth opportunities
- Raising full year 2016 earnings guidance and improving earnings guidance for 2017

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted net income and its components (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes

GLENN DAVID CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Third Quarter		
	2016*	2015*	Change
Revenue	\$1,241	\$1,214	2%
Reported Net Income	239	189	26%
Reported Diluted Earnings Per Share	\$0.48	\$0.38	26%
Adjusted Net Income ¹	258	252	2%
Adjusted Diluted EPS ¹	\$0.52	\$0.50	4%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Third Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ²
Revenue	\$1,241	\$1,214	2%	(2)%	4%
Adjusted Cost of Sales ¹	403	409	(1)%	1%	(2)%
<i>as a percent of revenue</i>	32.5%	33.7%	NA	NA	NA
Adjusted SG&A Expenses ¹	333	346	(4)%	(1)%	(3)%
Adjusted R&D Expenses ¹	90	91	(1)%	1%	(2)%
Effective Tax Rate on Adjusted Income ¹	31.6%	25.1%	NA	NA	NA
Adjusted Net Income ¹	258	252	2%	(4)%	6%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



US SEGMENT PERFORMANCE

	Third Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$640	\$632	1%	-	1%
Livestock	341	348	(2)%	-	(2)%
Companion Animal	299	284	5%	-	5%
Cost of Sales	137	147	(7)%	-	(7)%
Gross Profit	503	485	4%	-	4%
<i>Gross Margin</i>	78.6%	76.7%	NA	-	NA
Operating Expenses	101	100	1%	-	1%
Other (Income)/Deductions	-	(1)	(100)%	-	(100)%
Earnings ²	402	386	4%	-	4%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Third Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$585	\$569	3%	(3)%	6%
Livestock	394	402	(2)%	(4)%	2%
Companion Animal	191	167	14%	(1)%	15%
Cost of Sales	201	209	(4)%	(5)%	1%
Gross Profit	384	360	7%	(2)%	9%
<i>Gross Margin</i>	65.6%	63.3%	NA	NA	NA
Operating Expenses	128	137	(7)%	(2)%	(5)%
Other (Income)/Deductions	-	4	(100)%	(122)%	22%
Earnings ²	256	219	17%	-	17%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

	Third Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Total International	\$585	\$569	3%	(3)%	6%
Australia	42	40	5%	-	5%
Brazil	56	54	4%	(1)%	5%
Canada	39	35	11%	(1)%	12%
China	33	30	10%	(8)%	18%
France	28	24	17%	(1)%	18%
Germany	29	27	7%	(1)%	8%
Italy	21	21	-	1%	(1)%
Japan	34	23	48%	18%	30%
Mexico	17	19	(11)%	(24)%	13%
Spain	20	21	(5)%	-	(5)%
United Kingdom	35	43	(19)%	(11)%	(8)%
Other Developed	80	68	18%	2%	16%
Other Emerging	151	164	(8)%	(5)%	(3)%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

REPORTED TO NORMALIZED ORGANIC OPERATIONAL REVENUE GROWTH

UNDERSTANDING THE THIRD QUARTER 2016 UNDERLYING GROWTH

	Reported Growth	Foreign Exchange	Operational Growth ¹	Operational Efficiency Initiative ²	Normalized Operational Growth ¹	M&A: PHARMAQ & Other	Normalized Organic Operational Growth ¹
<u>Total Zoetis</u>	2%	(2)%	4%	(5)%	9%	3%	6%
Livestock	(2)%	(2)%	-	(6)%	6%	4%	2%
Companion Animal	9%	-	9%	(2)%	11%	-	11%
<u>US</u>	1%	-	1%	(2)%	3%	-	3%
Livestock	(2)%	-	(2)%	(4)%	2%	1%	1%
Companion Animal	5%	-	5%	(1)%	6%	-	6%
<u>International</u>	3%	(3)%	6%	(8)%	14%	5%	9%
Livestock	(2)%	(4)%	2%	(9)%	11%	7%	4%
Companion Animal	14%	(1)%	15%	(6)%	21%	-	21%

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

REPORTED TO NORMALIZED ORGANIC OPERATIONAL REVENUE GROWTH

UNDERSTANDING THE FIRST NINE MONTHS 2016 UNDERLYING GROWTH

	Reported Growth	Foreign Exchange	Operational Growth ¹	Operational Efficiency Initiative ²	Six Extra Calendar Days	Normalized Operational Growth ¹	M&A: PHARMAQ & Other	Normalized Organic Operational Growth ¹
<u>Total Zoetis</u>	3%	(4)%	7%	(5)%	2%	10%	3%	7%
Livestock	(3)%	(5)%	2%	(6)%	2%	6%	4%	2%
Companion Animal	14%	(2)%	16%	(2)%	2%	16%	1%	15%
<u>US</u>	7%	-	7%	(2)%	3%	6%	1%	5%
Livestock	(1)%	-	(1)%	(3)%	3%	(1)%	-	(1)%
Companion Animal	17%	-	17%	(1)%	3%	15%	2%	13%
<u>International</u>	-	(7)%	7%	(7)%	1%	13%	4%	9%
Livestock	(4)%	(8)%	4%	(8)%	1%	11%	6%	5%
Companion Animal	9%	(5)%	14%	(5)%	1%	18%	1%	17%

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2016	2017
Revenue <i>Operational growth</i> ¹	\$4,850 to \$4,900 4% to 5%	\$5,150 to \$5,275 6% to 8%
Adjusted cost of sales as a percentage of revenue ²	32.5% to 33%	32% to 33%
Adjusted SG&A expenses ²	\$1,305 to \$1,330	\$1,280 to \$1,340
Adjusted R&D expenses ²	\$365 to \$375	\$360 to \$380
Adjusted interest expense and other (income) / deductions ²	Approximately \$165	Approximately \$160
Adjusted EBIT margin ²	Approximately 32%	34% to 35%
Effective tax rate on adjusted income ²	Approximately 32%	Approximately 30%
Adjusted diluted EPS ²	\$1.91 to \$1.96	\$2.28 to \$2.38
Adjusted net income ² <i>Operational growth</i> ^{1,3}	\$955 to \$980 12% to 15%	\$1,135 to 1,190 17% to 23%
Certain significant items ⁴ and acquisition-related costs	\$30 to \$50	\$30 to \$50
Reported diluted EPS	\$1.66 to \$1.75	\$2.10 to \$2.22

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

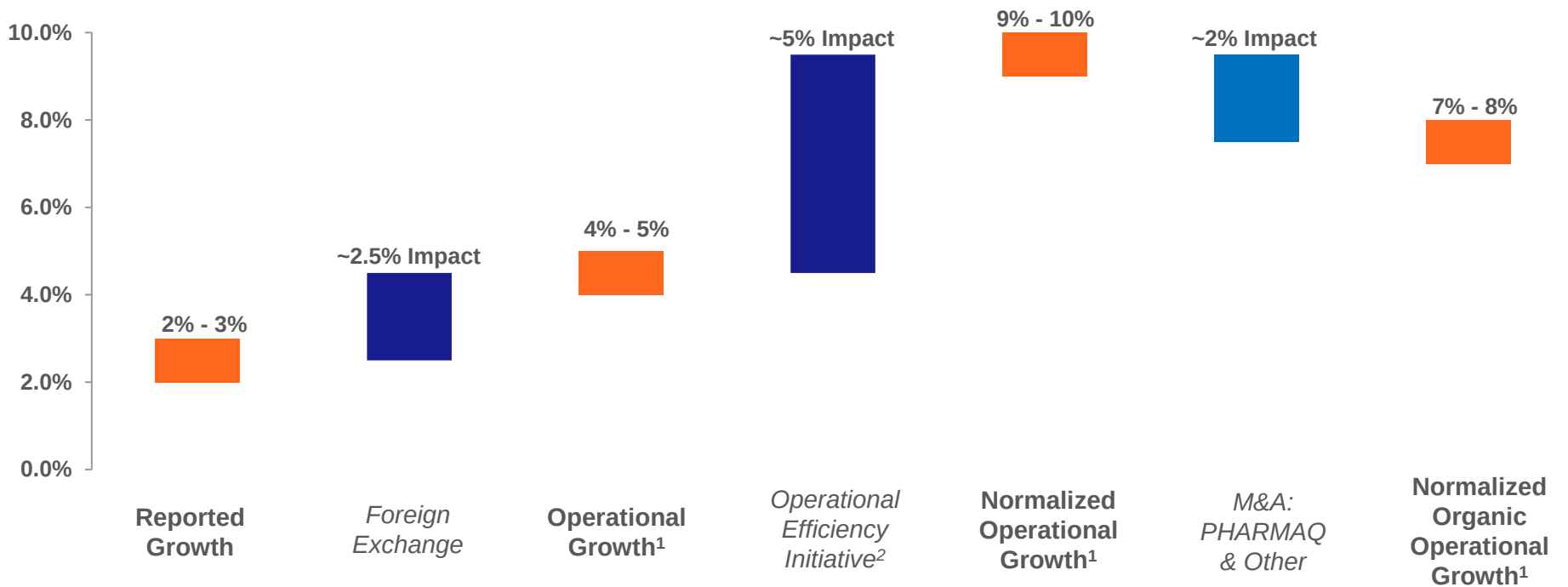
²Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP Reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impact of these items are uncertain, depend on various factors, and could have a material impact on GAAP Reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to restructuring, net gains/losses on sales of assets, and other charges for the operational efficiency initiative and supply network strategy, becoming an independent public company, such as the creation of standalone systems and infrastructure, site separation, new branding (including changes to the manufacturing process for required new packaging), and certain legal registration and patent assignment costs



2016 REVENUE GUIDANCE



¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

ONE TIME COSTS 2015 - 2017

Pre-tax Charges¹ (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other ²	\$265 to \$275
Operational efficiency initiative	\$295 to \$305
Supply network strategy	\$50 to \$70
Certain significant items and acquisition-related costs	\$610 to \$650

¹Excludes non-cash charges of \$57 million in 2015 and \$6 million in 2016

²Includes charges of \$93 million in 2015 for revaluation of Venezuela bolivar-denominated assets and liabilities

Q&A

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